

that have a global supply chain and advanced technological capabilities can easily exploit this trend.

Riding high on policy booster

Survey participants have mentioned that the EMS industry in India is expecting significant benefits from 'Make in India' campaign in the days to come. Global players have already started showing interest in investing in India. This, coupled with the government's assurance to provide assistance to the electronics industry for setting up world-class infrastructure, is expected to provide the much-needed momentum to domestic manufacturers.

This campaign, which is backed and fully supported by Defence Procurement Policy (DPP) 2016, Preferential Market Access (PMA) Policy and incentives like MSIPS, has attracted OEMs to explore the option of manufacturing in India. This, in turn, will create more business opportunities for Indian EMS players in the times to come.

Industry dynamics

EMS companies operate as strategic partners of OEMs by providing them with a full range of services that include contract design service, prototyping, final system assembly, configuration, order fulfilment and after-market services including repair. By using the services of EMS providers, OEMs can concentrate on their core competencies such as research and product development, brand building, and sales and marketing.

Outsourcing to EMS providers also enables OEMs to gain access to the latest equipment, process knowledge and manufacturing know-how without having to make substantial capital investments, as the risks are converted into variable costs.

Survey participants feel that ever-increasing end-user demands and fast-paced technological developments compel OEMs to continu-

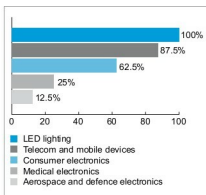


Fig. 2: Forecast on major growth-driving sectors

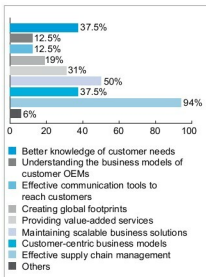


Fig. 3: Suggested business strategies for growth

ously introduce new and innovative products in the electronics market. Consequently, OEMs have to increasingly depend on EMS providers who offer significant benefits such as cost savings, reduced time-to-market, reduced time-to-volume, quality and flexibility.

While discussing the market mix, all survey participants have indicated the long shown affinity of the Indian EMS providers towards a low-mix, high-volume module, which is a contract manufacturing setup where only a few number of assemblies are produced in large quantities. Such a production arrangement may last for weeks or even months using the same setup.

This technique allows changeovers to be kept at minimum levels

and equipment utilisation rates to be significantly high. Contract manufacturers have proven to be more efficient when running at high volumes, which requires minimal engineering changes. This pattern is mostly prevalent in India as EMS companies are driven by the high volume quotient of this proposition. Considering the low margin scenario, optimisation of supply chain cost is crucial to the success of this model.

While the low-mix, high-volume method of production is adopted by EMS companies catering to the mass-manufacturing segment, the recent industry trends show a shift towards a high-mix, low-volume production process, which puts high focus on quality and customisation as per customer requirements.

Considering high margins and niche market scenarios, even major changes in market dynamics often do not impact such a production process heavily. This kind of production arrangement mostly caters to the strategic electronics sector, and the emphasis is on faster throughput and high-quality finished product. OEMs that prefer such solutions are willing to pay a higher price without compromising on quality. However, in this model success depends on controlling and improving supply chain efficiently.

Growth strategies

Since OEMs are very selective in choosing their EMS partners, the latter need to focus on nurturing long-term relationships with their customers through enhanced value-added services, strategic partnerships and alliances, as well as through diversification.

In response to growing competition in the industry, EMS providers continuously adopt innovative and strategic business models. These include better knowledge of customer needs, understanding the business models of customers/OEMs, effec-